

DeepSeek's R1 LLM fuels its \$45 billion valuation

DeepSeek is in talks to raise fresh funding at a potential valuation of around US\$ 45 billion, highlighting how open source AI models are rapidly emerging as credible challengers to proprietary systems from companies such as OpenAI and Anthropic.

The sharp jump from DeepSeek's earlier estimated valuation of roughly \$20 billion has been largely driven by growing investor confidence in the company's R1 open source large language model, which gained significant attention earlier this year. Despite operating with comparatively lower compute resources, DeepSeek has positioned itself among the leading frontier AI developers globally.

China's state-backed China Integrated Circuit Industry Investment Fund, commonly known as Big Fund, is expected to lead the funding round in what would mark its first known investment in a large language model developer. Tencent and Flounder are also reportedly in discussions to invest, although the final investor lineup has not yet been confirmed.

The potential investment reflects Beijing's broader push for AI and semiconductor self-reliance, while also signalling stronger integration between China's domestic chip ecosystem and open source AI model builders. DeepSeek is optimising its models to run on Chinese hardware platforms such as Huawei's Ascend chips, reducing dependence on US technology stacks.

Led by billionaire founder Liang Wenfeng, DeepSeek has focused heavily on frontier AI model development over aggressive commercialisation as China's AI race intensifies.



Despite these advances, risks persist. "The immediate risk areas remain internet-facing applications, remote admin interfaces, cloud consoles, public APIs, staging and test environments, and misconfigured cloud resources," said Chandra Prakash Suryawanshi, managing director at Alvarez & Marsal.

Pixxel and Sarvam join forces to build India's first orbital AI data centre

Pixxel and Sarvam have announced a strategic partnership to develop India's first orbital data centre satellite, positioning the mission as a stepping stone towards sovereign and potentially open AI infrastructure.

At the core is the Pathfinder satellite, a 200 kg-class platform designed for real-time AI data processing in orbit. Pixxel will design, build, launch, and operate the



satellite, while Sarvam will deliver a full-stack AI backbone that enables both training and inference directly in space.

A key breakthrough lies in deploying data centre-class GPUs in orbit, bringing terrestrial-grade AI compute capabilities to space. Combined with hyperspectral imaging and foundation models, the

system can process data in real-time—eliminating dependence on Earth-based processing and enabling instant insights for environmental monitoring, resource management, and critical infrastructure tracking.

Scheduled for launch in Q4 2026, the mission will run entirely independent of foreign cloud or ground infrastructure, signalling a shift towards decentralised compute models aligned with open source philosophies.

"Ground-based data centres are facing increasing constraints around energy, land, regulation, and scale, and the current model is becoming harder to sustain environmentally. Orbital data centres open up a new frontier, where compute can be powered by abundant solar energy, operate closer to space-based data, and move beyond some of the limits faced on Earth. For Pixxel to build the next generation of space infrastructure, we have to help shape this shift, not watch it happen from the sidelines. With Sarvam, this mission is our first step toward making orbital data centres real, operational, and scalable from India," said Awais Ahmed, CEO, Pixxel.

Sarvam's sovereign AI stack, built entirely in India, reduces reliance on proprietary hyperscaler ecosystems and creates a foundation for future open AI frameworks. "AI infrastructure is not just a software question - it is a sovereignty question. Sarvam has been building India's full-stack AI platform from the ground up, and partnering with Pixxel allows us to extend that sovereign stack into space. Having India-built models running in orbit aboard an India-built satellite is exactly the kind of foundational capability that the country needs to control its own intelligence infrastructure. The goal has always been to make intelligence accessible to everyone, everywhere. Now, everywhere includes space. We are proud to power the AI backbone of this mission," said Pratyush Kumar, CEO, Sarvam.

The satellite will be built at Gigapixxel, Pixxel's upcoming facility, which will support scaled production of next-generation space infrastructure.

IBM's Sovereign Core will help build and operate AI-ready sovereign environments

At Think 2026, IBM announced the general availability of IBM Sovereign Core, an open architecture-driven platform designed to build and operate AI-ready sovereign environments with end-to-end control across data, operations, infrastructure, and AI systems.